



3. Succession laws

International Laws: Common Law , Civil Law, Sharia Law

Common law

- Case law
- Based on customs/ English tradition
- Judge and jury
- Trial dominated by lawyers with judge as referee
- Judge uses inductive reasoning about the facts
- Court may fashion an equitable remedy- one that is "fair"
- Greater opportunity for false positive or false negative

Civil law

- Principle of legality
- Based on Roman law
- One or a panel of judges
- Judge actively participates in seeking of evidence and examining of witnesses
- Judge uses deductive reasoning
- Inappropriate for Court to fashion a remedy not set forth in the Code
- Greater opportunity for corruption

- The Koran forms the basis for the Shari'ah (Islamic law)
- It encompasses religious duties and obligations and patterns of social and economic behavior for all individuals
- It includes issues such as property rights, economic decision making, and types of economic freedom
- The overriding objective of the Islamic system is social justice
- Islamic law prohibits the payment of interest
- Islamic doctrine advocates risk sharing, individuals' rights and duties, property rights, and the sanctity of contract
- Emphasis placed on the ethical, moral, social, and religious dimensions to enhance equality and fairness for the good of society
- Prohibits investment in activities that violate the Shari'ah, e.g., business dealing with alcohol, gambling, and casinos

Forced Heirship (applies in certain countries)

- Forced heirship means **decedent is not free to distribute the estate** as he or she desires.
- There are strict rules to be followed .
 - The first, and largest share often going to the first-born (often male), then to the next in line, and so on. Children (protected heirs) almost always are provided for.
 - this may mean that the spouse effectively is disinherited or receives a nominal
- **Spain** has a system of forced heirship, where typically, children are entitled to receive two-thirds of the deceased parent's estate. The surviving spouse is entitled to at best, only the remaining one-third.
- Three ways to circumvent this are as follows
 1. Lifetime transfers. Assets that are gifted are no longer are part of the estate, therefore, at death, they are excluded in a forced heirship scheme.
 2. Create a trust
 3. Establish a foreign company to own property.

Forced Heirship- Usufruct

- A number of forced heirship systems do provide a significant portion of the marital estate to be distributed to the surviving spouse, but the spousal portion may be reduced to provide for children. Often, the spouse's share may be 50% of the estate, or at least the community property portion is provided to the spouse. Community property is marital property.
- **Usufruct** technically refers to the ability of a person to use the property of another person, without changing the character of the property. It may be applied to use of land, buildings, and/or movable objects.
- Usufruct is not specifically limited to surviving spouses, but it can be applied for their benefit. Usufruct can allow a surviving spouse to live in the family home, use community property assets, and the like. The right normally terminates at the earlier of remarriage or death. As such, usufruct is not necessarily as beneficial as outright inheritance and ownership, but it does provide a degree of security to the surviving spouse.

Indian laws: HSA 1956, Muslim Law, ISA 1925

- India is **complex, multi-layered, diverse**.
- Succession planning in India is similarly complex, and depends on the **personal laws of the deceased**, which, in turn, is **typically based on religion**.
- India has **3 separate laws** relating to succession / estate



Codified, applies to Hindus, Jains, Sikhs, Buddhists.

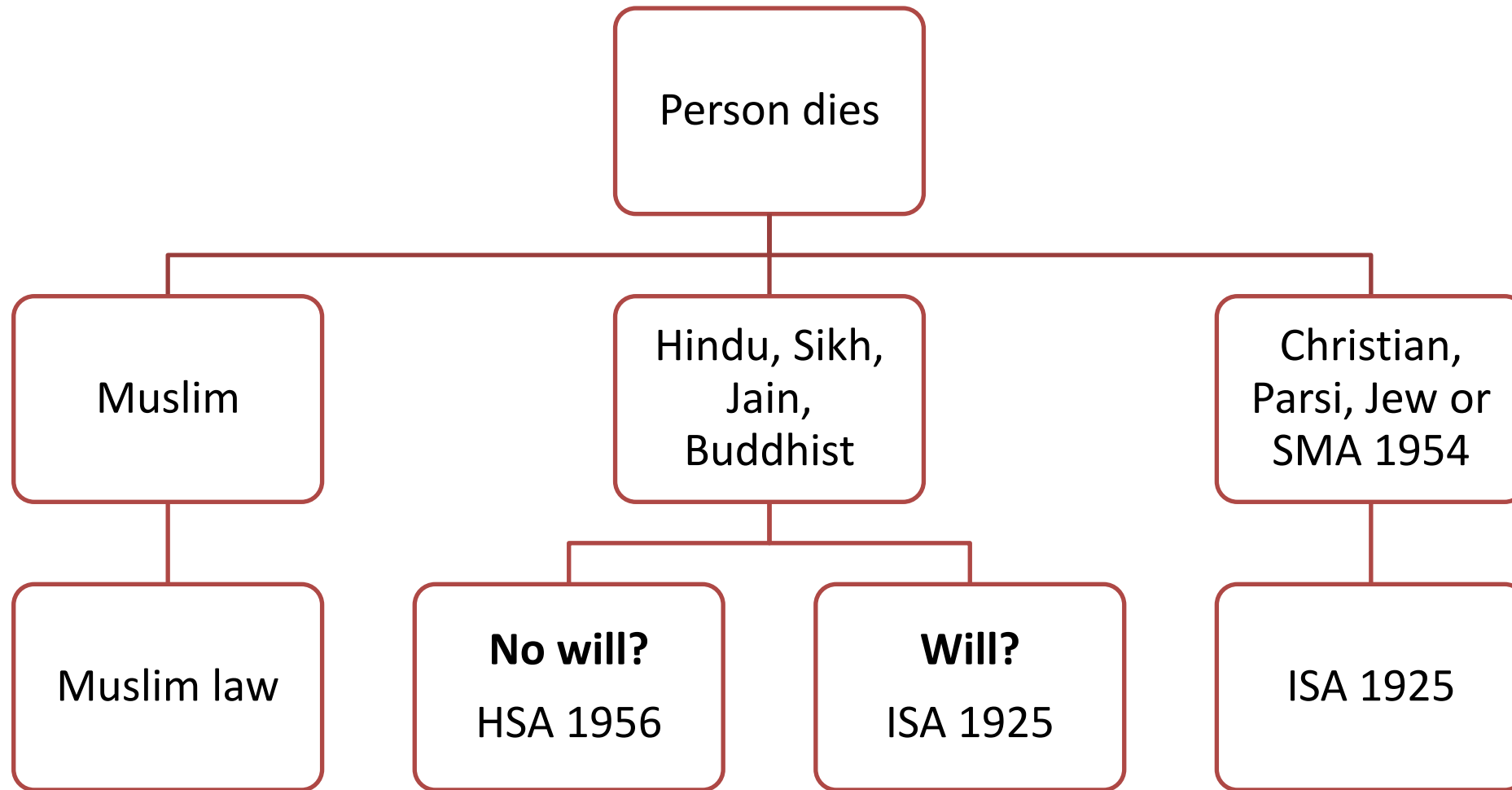


Uncodified, applies to all Muslims



Codified, applies to Parsis, Christians, Jews or covered under Special Marriages Act, 1954

Testate / Intestate planning as per Indian laws



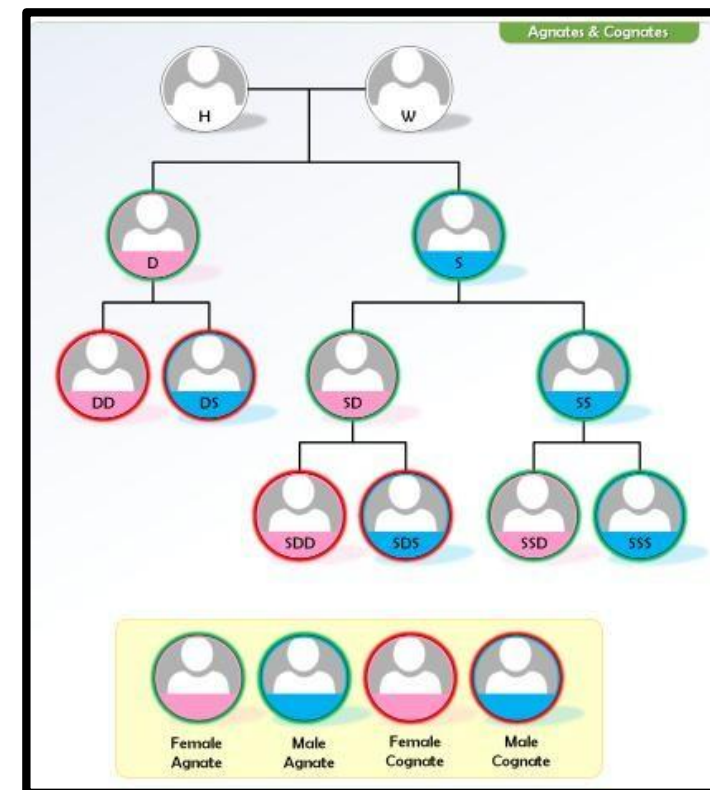
1: HSA 1956 (Intestate only)

- The Hindu Succession Act, 1965 (HSA), applies to **intestate succession** for
 - Hindus, Prarthana, Brahmo or Arya Samaj
 - Sikh or Buddhist
 - **Excludes** Christian, Muslim, Jew, Parsi and Hindus married under the Special Marriages Act, 1954.
- It provides for
 1. **transfer of property** with respect to two main schools of Hindu law, that is, Mitakshara and Dayabhaga,
 2. **classes of heirs**, and devolution of property, disqualification, and other aspects relating to classes of heirs.

Schools of Hindu Law	
Dayabhaga School of Hindu Law	Mitakshara School of Hindu Law
<u>Father</u> is the <u>sole owner</u> and the <u>exclusive possessor</u> of the joint family property.	Law-property <u>vests</u> in the <u>HUF</u> itself and <u>not</u> in any <u>individual member</u> of the family.
<u>No</u> member can enforce the <u>partition</u> of the HUF so long as the <u>father lives</u>	It can be <u>partitioned within the lifetime</u> of the <u>father</u> .
Prevalent in : - West Bengal - Assam	Hindus in the rest of the country
Less Popular	More Popular

Key concept: Class 1 to 4 heirs (Mitakshara)

- Mitakshara school uses **principle of propinquity** (i.e., nearest degree of blood relation)
- distributes property **entirely to a single Class of heirs**, i.e., to Class 1, else class 2 else 3 etc
 - **Class 1 heirs**: Sons, daughters, widow
 - **Else Class 2** heirs: brothers and sisters of the deceased
 - **Else Class 3** heirs: Agnates, i.e., related via male /father's side
 - **Else Class 4** heirs: Cognates
- Additionally,
 - *Children in womb are treated as heirs at time of death*
 - *Full-blood relations are preferred over half-blood / uterine-blood*
 - *In case of simultaneous death, the younger of the two deceased is assumed to have “survived” the elder*



HSA 1956: Logic for sharing by Heir Class

Class 1

- Property is **tenants-in-common** (not joint)
- Widow(s) x **1 share** (total)
- Mother x **1 share**
- Sons or daughters x **1 share (each)**
- Deceased sons or daughters x **1 share (each)**
 - Shared between their widow, sons, daughter (son) or only sons, daughters (daughter)

Class 2

- **9 Entries (i.e., sub-categories)**, each with a specified share
 - E.g., Entry 2 = Siblings of the deceased
- All **members within an Entry** get equal parts

Class 3 and 4

- Traced from male deceased up or down
- **Direct lineage from deceased is preferred** to remote lineage
- Within same lineage, **closer generation to deceased is preferred** over distant generation
- **If no preference** can be found, heirs get **equal shares**

HSA 1956: Treatment of HUF

- HUF is considered a 'person' and is assessed as a separate legal entity (IT Act).
 - **Coparcener** is a person who acquires interest by birth, up to three generations from the senior most male member of the HUF. Coparceners can demand partition of the HUF.
 - **Karta**: the senior most member of an HUF and tasked with the responsibility of managing the HUF and its property including the legal right to deal and alienate any HUF property,
- **Property types**
 - **Ancestral Property**: Acquired through inheritance from ancestors, always shared by coparceners equally. This type of property is also known as Coparcenary Property.
 - **Joint Family Property**: Acquired by the members of a HUF and includes ancestral property, wherein every coparcener has a joint interest in the property.
 - **Self-acquired Property**: Either joint family property that has now become separate, or property that is self-acquired by an individual

HSA 1956: Treatment of HUF

Nature of Interest

- All **coparceners** acquire interest by virtue of their **birth** in ancestral property

Devolution on demise

- Deceased's share of **ancestral and joint family property** devolve upon the successors.

Alienation by Will

- Post the HSA, a **coparcener** can now dispose of his **interest** in a coparcenary property **by way of will**.

Alienation by Gift

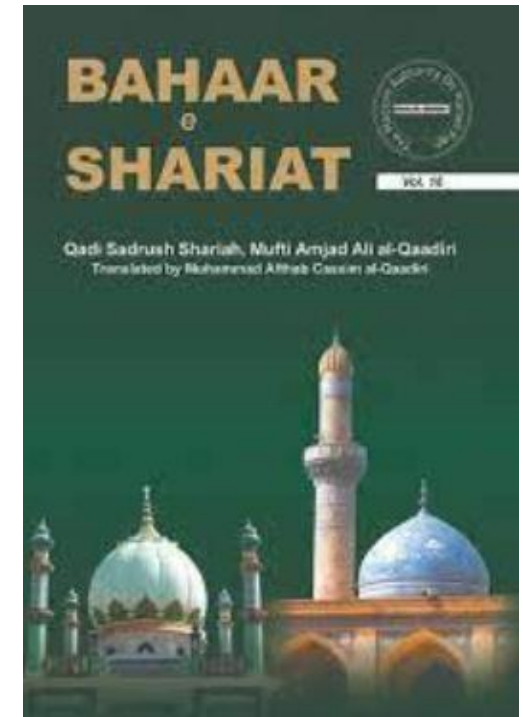
- **Not allowed**

Hindu Succession(Amendment) Act , 2005

- The principal amendments mostly relate to provisions for females:
 - Coparcenary rights to Hindu females: Females are now equally entitled to a share in ancestral property as their male counterparts, and granted the same rights and liabilities
 - Abolition of survivorship: Interest of the deceased in property of a joint Hindu family will now devolve by testamentary or intestate succession.
 - Allotment of shares in coparcenary property to Hindu females: If a Hindu male (in a joint Hindu family governed by Mitakshara law) died after the 2005 Amendment, his daughter will be allotted the same share as his son. The share of a pre-deceased son or pre-deceased daughter will be allotted to their surviving child/children.
 - Abolition of pious obligation: Son, grandson or great grandson of a deceased no longer obliged to pay off all (legal or moral and illegal or immoral) debts of the deceased
 - Right of a female heir to claim partition: Hindu female heirs can claim partition of a dwelling house occupied by a joint family; earlier reserved only to Hindu male heirs.
 - A remarried widow of a pre-deceased son, pre-deceased son of a pre-deceased son or brother will inherit property of the intestate.

2. Muslim Law (Shariat)

- Mohammedan **personal law is uncodified** and based on the principles of **Shariat**, being the commandments of Allah.
- It is multi-layered, highly nuanced, complex, **and applies differently to different factions of Muslims.**
- Broadly, there are two schools of Mohammedan law
 1. the **Sunni** laws, which relies on the **Sunnah (record of the teachings of the Prophet)**, and is further subdivided into four schools i.e. Hanafi, Maliki, Shafii, and Hanbali.
 2. the **Shia** laws, which relies on **ayatollahs** (i.e., religious leaders) **interpretations of the Prophet's teachings**, distinct from the Sunni school owing to interpretive differences.



Shariat Application Act, 1937 (Sharia Law)

Section 2 of the Sharia Act provides that, “notwithstanding any custom or usage to the contrary, *in all questions regarding intestate succession, special property of female (including personal property), marriage, dissolution of marriage, including talaq, lis, zihar, lian, khula and mubarrat, maintenance, dower, guardianship, gifts, trust and trust properties and wakfs (other than charities and religious endowments), Muslim personal law (shariat) is to apply to all cases where the parties are Muslim.*”

There are 4 primary sources of Muslim Law in India,

- **The Quran:** Out of its 6000 verses, about 200 deal with legal principles, and of these 80 deal with the law of personal status, like inheritance, marriage and divorce. The courts in India must abide by the Quran.
- **The Sunna:** Sunnah means “tradition” or “way” and is understood to be the way of life as deduced from the Prophet’s behaviors. E.g., aspects like voluntary charity, voluntary prayer and fasting, good table manners etc.
- **Ijma:** Means consensus or agreement of Islamic scholars on a point of Islamic law. The rules set out by Ijma have varying degrees of binding authority in different schools.
- **Qiyas:** the deduction of legal prescriptions from the Quran or Sunnah by analogic reasoning on matters not explicitly covered therein or unsystematic opinion is called Qiyas. It constitutes the fourth source of Muslim Law.

Bequest of Property under Shia law

- Will's can be used to provide discretionary inheritance up to certain limits
- In absence of wills, Shia law applies

Without consent of heirs	Requiring consent of heirs	No heirs	Child in womb	Heir causing testator death
• Up to 1/3rd can be provided via Will • Can be either to an heir or a stranger	• If Will states > 1/3rd • Consent required before or after • Abatement is preferential, based on order heirs are named in Will	• 100% can be bequeathed to strangers	• Will receive if born within 9 lunar months of testator's demise	• Bequest to heirs who intentionally cause testator death cannot inherit

Bequest of Property under Sunni law

To a Stranger

- Up to 1/3rd can be provided via Will
- Does not require consent of heirs
- Only to a stranger

To heirs

- Consent needed from heirs, can be after death
- Up to 1/3rd, those heirs consenting will receive a lesser share
- Over 1/3rd, abatement is done proportionally

No heirs

- 100% can be bequeathed to strangers

Child in womb

- Will receive if born within 6 calendar months of testator's demise

Heir causing testator death

- Bequest to heirs who accidentally or intentionally cause testator death cannot inherit

3. Indian Succession Act 1925 & property rules

- Governs the succession laws **applicable to**
 - **All** Parsis, Christians, Jews
 - **All** persons married under the Special Marriages Act, 1954.
 - **Only** those Hindus, Jains, Sikhs, Buddhists who have a Will
- Intestate death is subject to two legal concepts
 1. ***Lex Situs*** (=where **property** is situated), which provides that any immovable property of a person who has died intestate will be **regulated by the laws of India** regardless of domicile at death.
 2. ***Lex Domicilli*** (= where **deceased** was domiciled), which provides that moveable property of a person who has died intestate will be regulated by the **law of the country in which the deceased was domiciled at death.**
- Testamentary death considers provisions made in a Will

Key term: Domicile

- Domicile is defined as **the country**
 - **that a person treats as their permanent home**, (i.e., intention to stay)
 - or **lives in and has a substantial connection with** (i.e., physical presence)

- Domicile is important for cross border Estate ramifications, e.g., moveable property and a person must have a domicile from one of the below

Domicile of Origin

- Is the country where the father was domiciled at the time of birth of the child.
- In the case of an illegitimate child, is the country where the mother was domiciled at the time of birth.

Domicile by Choice

- Is the country where the person has a fixed habitation (i.e., not country of origin)
- Onus is on the person to prove that they intend to continue residing in this country by choice

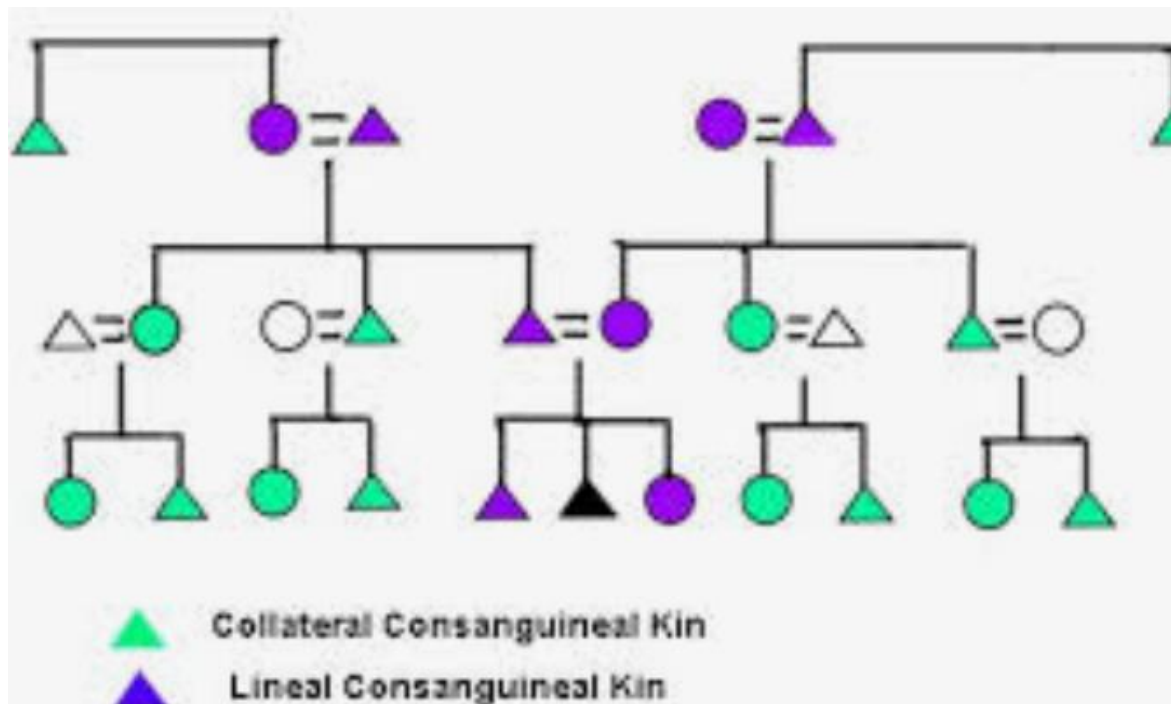
Domicile by Law

- is the domicile that is imposed by law
- Origin or choice has no relevance in such cases

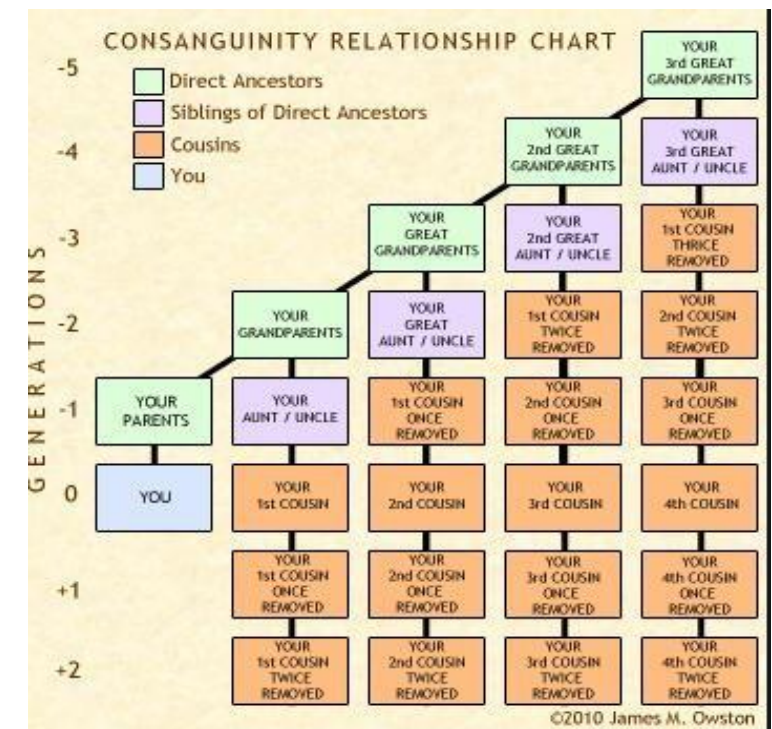
Key terms: Consanguinity, Generations

- Consanguinity or **kindred relationship**, per section 24, means “*the connection or relation of persons descended from the same or common ancestor*”.
- Consanguinity is of two types: Linear & Collateral

Linear & Collateral consanguinity



Generational consanguinity



Succession based on ISA

- Important rules for determining succession:
 1. there is **no distinction between relatives on paternal and maternal sides** (of the same degree).
 2. **no distinction is made between half blood and full blood relatives** (of the same degree).
 3. there is **no distinction between a child who was conceived (but subsequently born alive) at the time of death of the deceased and a child who was born during the lifetime** of the deceased.

Intestate succession (ISA 1925)

General rules

- Survived by widow & heirs, then 1/3rd to widow, remaining shared equally between heirs
- survived by the widow and kindred, then 50% to widow, 50% to kindred
- no lineal descendants or kindred, then 100% to husband or wife

Specific to Parsis

- Normal rules like consanguinity do not apply
- Lineal descendants who have died in the lifetime of the intestate without leaving a widow or any lineal descendant shall not be considered
- A widow or widower of any relative of an intestate who has remarried during the lifetime of an intestate shall not be considered

Salient points of ISA 1925

- *Animus Testandi*, or will signed by person of sound mind of their own free will
- *Lapse of Legacy*, bequest will lapse for any legatee who does not survive the testator
- *Class of persons*: Bequest to a class or group of persons will be made only to those surviving the testator
- *rule against perpetuity*: bequest will not be valid if it is delayed beyond the lifetime of one or more persons alive at the testator's death
- *Onerous / independent / Contingent bequests*:
- *Specific / Demonstrative Legacy*